

Research Report

PL-External Balance Transfer

End to End Journey



Research Goal

1. Understand user behaviors, comprehension levels, and expectations throughout the end-to-end digital External Balance Transfer (EBT) journey.
1. Identify friction points and gather user feedback regarding document upload mechanics, existing loan selection, and overall cost transparency.
1. Evaluate user preferences, anxieties, and drop-off risks concerning the final loan settlement process, with a specific focus on the physical Demand Draft (DD) requirement.

User Profile and Methodology

- Conducted 30–45 minute moderated interviews and usability testing with 6 participants via convenience sampling.
- Participants included individuals with active or past personal loans and varied knowledge of EBT.
- Guided users through the end-to-end journey using screen-based tasks to observe real-time comprehension and navigation behavior.

S. No.	Name	Active PL	EBT Awareness	Employee?
1	Rishab	HDFC	Aware	Yes
2	Sharad	HDFC	Aware	No
3	Dakshata	No (Had Previsouly)	Aware	Yes
4	Abhinna	HDFC	Aware	No
5	Archana	HDFC (AXIS to HDFC BT))	Aware	Yes
6	Krisa	AXIS & South Indian Bank	Aware	Yes

Executive Summary

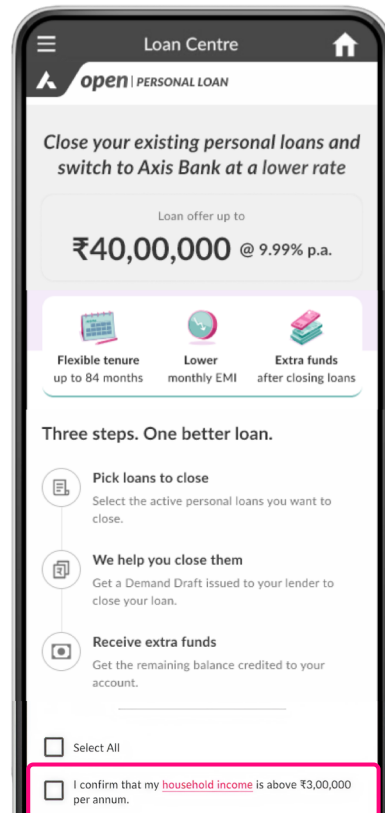
- The journey scored an overall rating of 4 out of 5, with users highly valuing the ability to skip in-person bank visits and manual rate negotiations.
- The premise of an end-to-end digital switch serves as a highly effective initial hook, and the step-by-step progression feels justified with no unnecessary filler screens.
- The cost comparison banner is the strongest UI feature; showing a clear savings "delta" proves immediate value and actively drives users to proceed.
- Forcing a physical Demand Draft (DD) at the end of a digital flow breaks the illusion, and the 7-8 day home delivery wait creates a massive flight risk for users to shop around.
- Foreclosure charges showing up at the last minute feels deceptive; users strongly demand upfront visibility of these fees on the landing page.
- Using "Congratulations" on the final status screen misleads few users into thinking their old loan is closed, masking the reality that old EMIs will continue until the DD is submitted.
- CTAs like "Select & Upload" and showing secondary loan options after a primary selection tend to create immediate cognitive friction.

Landing Page & Income Declaration

Participants immediately recognized the **lower ROI** and the **flexibility to choose tenure** as the primary hooks of the EBT offering.

Household Income

- The **Household Income** field was largely unnoticed unless participants were specifically nudged.
- Users skim past it.
- When prompted, users interpreted it as the **combined income of all earning** family members or **additional income** sources.
- They assumed it was meant to **assess overall repayment capacity** rather than just their individual income.



CORE LOAN BENEFITS (TENURE, EMI, EXTRA FUNDS)
& HOUSEHOLD INCOME CHECKBOX.

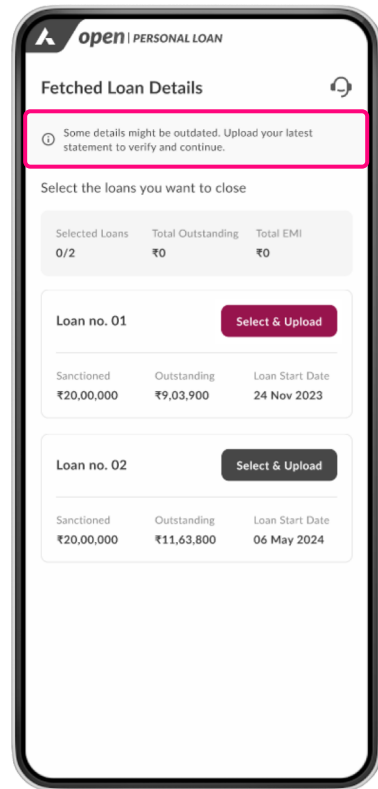
Fetches Loan Details

Ambiguity in 'Select & Upload'

- Users questioned if the list includes all their liabilities (home, auto, etc.) or just personal loans.
- The **Select & Upload** CTA fails to communicate its actual requirement, forcing users to **guess what document is needed**.
- Users **completely miss the instructional text at the top** of the screen because their attention is immediately anchored to the visual loan cards below.
- Without contextual help placed directly next to the button, they default to assuming it's for standard KYC documents.

"Select and Upload is not clear to me... what is it asking me to upload... I will take a very random guess... so it could be a confirmation of the loan number."

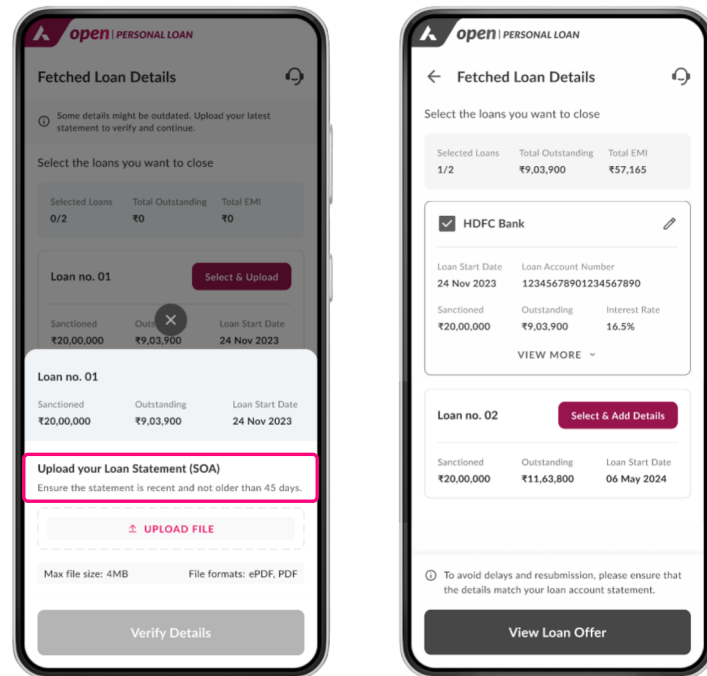
- 35 year old, Madhya Pradesh



TOP INSTRUCTIONAL NOTE & SELECT & UPLOAD CTA

Fetches Loan Details

- The 45-day statement requirement had a mixed reception.
- While some had it handy, others noted it **would force them to open a different banking app** to download the statement, disrupting the flow.
- A user strongly suggested the bank should fetch this automatically and simply ask the user to validate.



Loan Carryover Confusion

- Showing a **second loan option** after the user has already proceeded with their first loan choice **causes cognitive dissonance**.
- It breaks the user's mental model of a linear task. It **makes them question if they are being forced to repeat the entire process** for a secondary loan they don't want to transfer.

(L-R) SOA UPLOAD NOT OLDER THAN 45 DAYS & LOAN CARRYOVER VIEW

Verification

- Users understood the edit icon, but there was a slight hesitation regarding exactly what they were allowed to edit before they clicked it.
- Some users didn't immediately realize they had the liberty to change core things like the Interest Rate (ROI) or Tenure until they actively interacted with it.
- This is also where the question of "Is this ROI fixed or floating?" popped up.
- The '👁' was generally understood as 'View Statement', though it **momentarily confused a few users** who are habituated to seeing it exclusively as a 'reveal password' toggle.

"If I see some mismatch in info... in the details.. I may not proceed... I see edit.. but I don't know what it will do (clicks).. ok so we have this edit option here... but I was not thinking in that way that I would be at liberty to change interest rate."

– 35 year old, Madhyapradesh

The image displays two smartphone screens side-by-side, illustrating the 'Verification' process for loan details.

Left Screen: Fetched Loan Details

Header: open | PERSONAL LOAN

Back arrow, Fetched Loan Details, Refresh icon

Select the loans you want to close

Selected Loans	Total Outstanding	Total EMI
1/2	₹9,03,900	₹57,165

☒ **HDFC Bank**

Loan Start Date	Loan Account Number
24 Nov 2023	12345678901234567890

Sanctioned	Outstanding	Interest Rate
₹20,00,000	₹9,03,900	16.5%

EMI	EMIs Paid	EMIs Left
₹57,165	28	17

SOA.pdf 399KB

VIEW LESS ^

Loan no. 02 **Select & Add Details**

ⓘ To avoid delays and resubmission, please ensure that the details match your loan account statement.

View Loan Offer

Right Screen: Edit Details

Header: SOA.pdf 399KB

X **Edit Details**

Bank Name:

Loan Account Number ⓘ:

Sanctioned Amount	Outstanding Amount
₹ 20,00,000	₹ 11,63,800

Interest Rate	EMI
16.5 %	₹ 57,165

EMIs Paid	EMIs Left
28	17

Save Changes

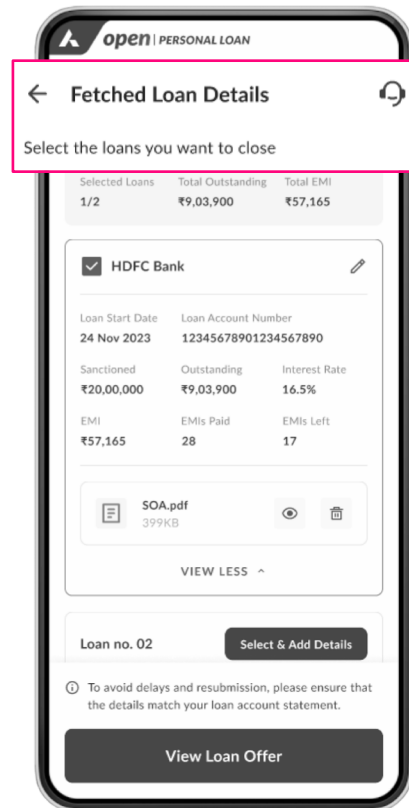
Assistance

Support is discoverable by most, but varied user expectations create ambiguity at this stage.

- Some expected it to reach a call center.
- One user expected it to be an AI bot.
- One user expected a dedicated RM.
- One user also requested a simple FAQ section here.

"Do we have dedicated RMs to look after a personal loan because I saw some headset icon."

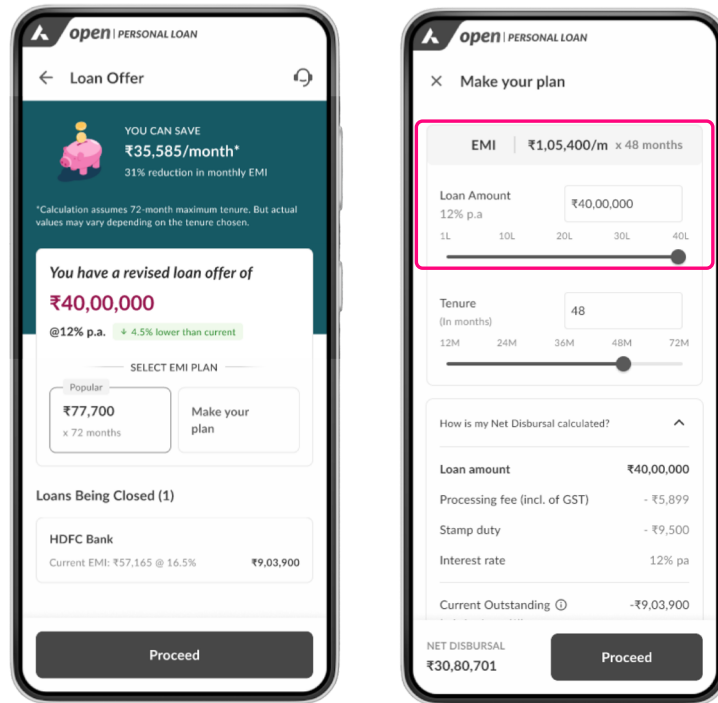
- 28 year old, Madhyapradesh



ASSISTANCE ICON AT TOP RIGHT

Loan Offer & Make Your Plan

- The top banner (which houses the cost comparison and savings delta) was highly successful.
- It caught the users' attention immediately and didn't cause any confusion.
- Users praised it for **showing a clear "delta" (savings difference)**, stating that the **transparency actively helped** them make a decision to proceed.
- Users also explicitly asked whether the displayed ROI was fixed or floating, requiring a label for clarity.
- While flexibility was valued, few users suggested that the **slider should logically start from the actual existing loan amount** rather than a random baseline (e.g., ₹1 Lakh). To them, complete freedom defeats the purpose of an EBT.
- Users suggested a **pop-up prompting them to "check all details before submitting"** to prevent anxiety over typos.



(L-R) SAVINGS BANNER & LOAN AMOUNT SLIDER

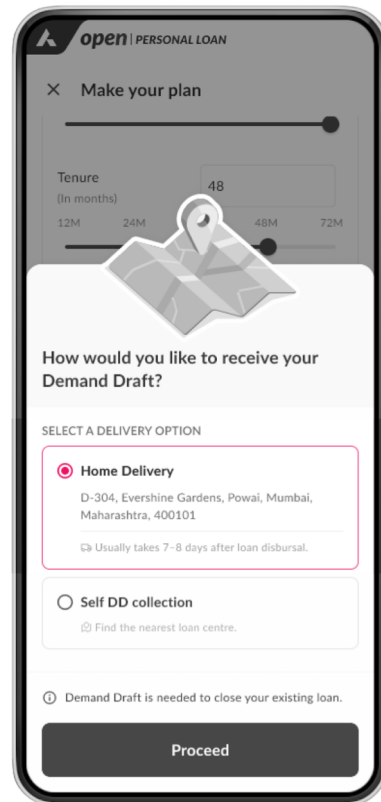
Demand Draft

Users perceive the Demand Draft step as a **massive step backward** in an otherwise digital journey.

- Users expect a modern banking experience to execute backend transfers seamlessly.
- A **physical DD introduces delivery anxiety** and unwanted manual effort that breaks the digital illusion.
- The estimated 7-8 day waiting time for home delivery introduces a major risk.
- Users explicitly stated that with a estimated 7-8 day waiting time, they have a **tendency to continue shopping around** and exploring **EBT options with rival banks**.

"Why DD...why not my account...can that not be done intra bank? Very long back i had done with ICICI...and had to close a PL in HDFC...they closed it at their end..bank to bank...and EMI was strtd by ICICI"

- 28 year old, Maharashtra



DEMAND DRAFT DELIVERY OPTIONS

Demand Draft

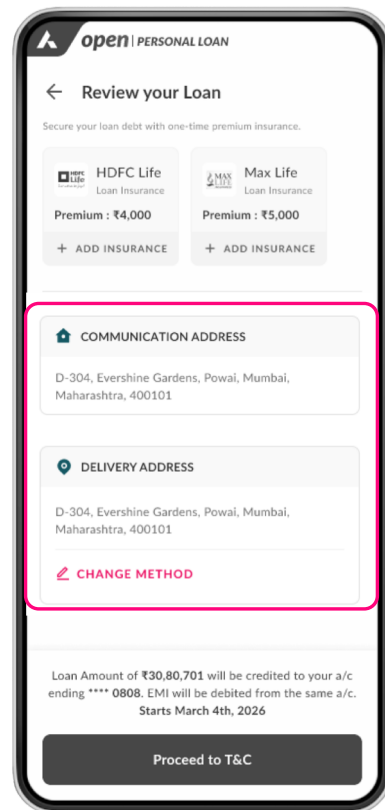
- A long physical delivery window leaves the door open for competitors to poach the user before the transfer is finalized.
- To some, the **introductory copy on the screen does not immediately connect the DD to the closure of the old loan.**
- They had to read it multiple times to understand the intent.

Delivery Preferences & Address Mapping

- If a DD is mandatory, Home Delivery is preferred for convenience.
- However, users were **highly concerned about which address would be used**, noting they often **do not live at the address** on their social security documents.
- They expect a **clear provision to choose or edit their delivery address** on this screen.

"I am a bit confused.... The copy could have been, 'How would you like to receive the DD to close your existing loan'... I would have understood it quicker."

- 32 year old, Maharashtra

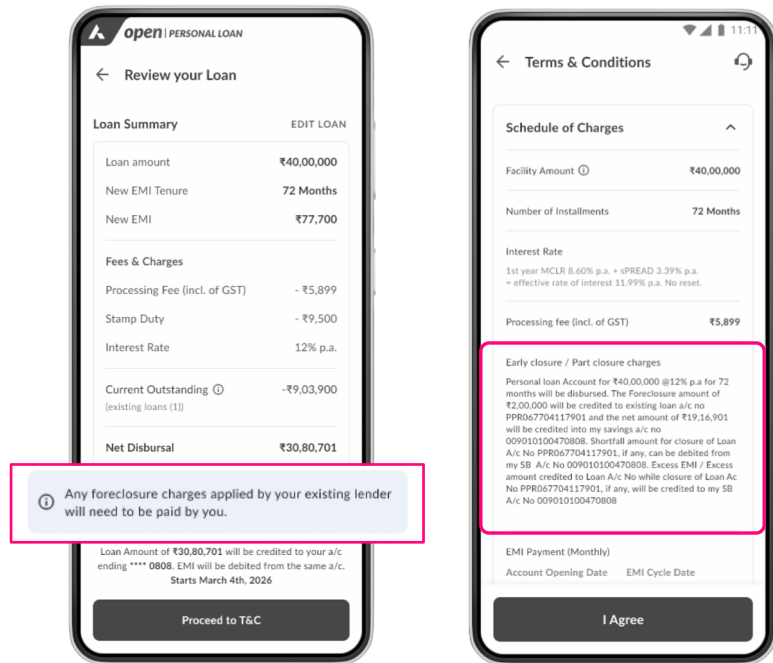


DELIVERY ADDRESS MAPPING

Review

Users were curious about foreclosure charges and expected clarity earlier; seeing them here instead came as a relief.

- Few users stated that if **foreclosure charges equal the savings they get from the Balance Transfer**, they will instantly drop off.
- To them showing a **mere note is not enough**; they want **actual or tentative charges** calculated based on the ROI.
- One user explicitly asked if the foreclosure charges could **simply be bundled into the BT settlement** amount.
- This would completely remove the friction of the user having to negotiate with their old bank.
- Terms & Conditions was seen as having sufficient info, but the "wall of text" in a small font made it difficult to read.
- For Insurance Disclaimers few users requested **tooltip disclaimers on suggested insurances** to show **immediate benefits** and aid in decision-making.



(L-R) FORECLOSURE CHARGES DISCLAIMER & T&C DETAILS

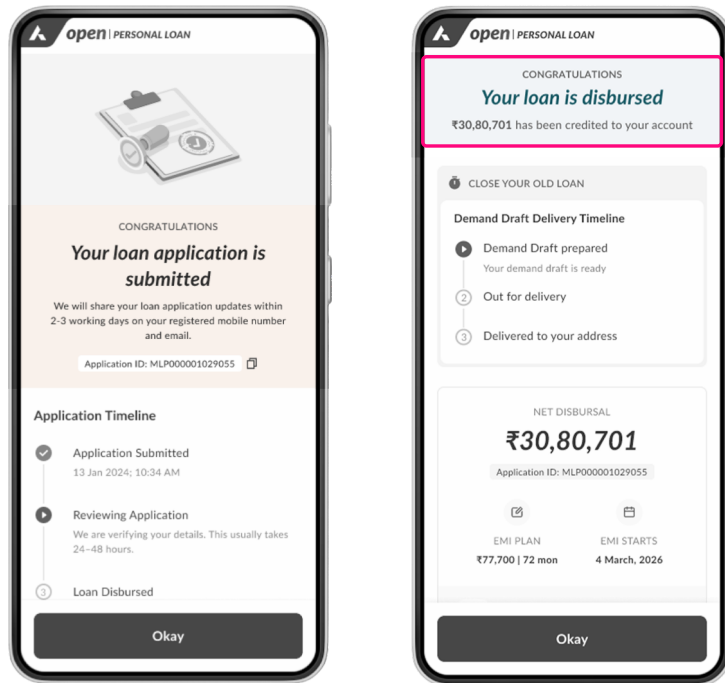
"What are the foreclosure charges... before I finalize everything I want to know that... because if I am taking a loan for a short time and the foreclosure charges are going in that only... then why would I want to close my loan with you?"

- 35 year old, Madhya Pradesh

Application Status & Disbursement

The combination of "Congratulations" and "Loan is disbursed" gives users severe mixed signals.

- Usually, congratulations is reserved for absolute completion.
- At first users assume their old loan is completely closed, only to read further and realize they still have to collect and submit a physical DD.
- They eventually figure out that only the extra top-up amount was disbursed to their Axis account, but the copy makes them work too hard to understand that.
- Users did realize their old EMIs will continue until the physical DD is submitted to their old bank.
- However, they want to know exactly **what happens if they are delayed in submitting the DD.**
- A note or disclaimer on this page indicating the same would help them greatly.



(L-R) CONGRATULATIONS AND DISBURSED HEADER COPY

"What are the chances that the application would go through? What happens if it gets rejected... what would be the steps after that?"

- 30 year old, Maharashtra

Overall rating & User Suggestions

- Users rated the journey an average of **4 out of 5** (individual scores included 3/5, 4.5/5, and 8-9/10).
- Users stated the journey was **easy to follow, not overly lengthy**, and that all steps felt relevant and mandatory.
- One user noted that while the EMI summary felt repetitive, it ultimately provided the transparency needed to make the switch.
- The **absolute best part** of the journey for users was that it **was end-to-end digital**. It **saves them from** the massive hassle of **continuous "to and fro" calling and negotiating rates** with bank representatives.
- Despite liking the digital flow, trust remains a massive hurdle for few as one user explicitly stated that due to "the kind of digital scams going in the world... nothing can be trusted," and they would still prefer to do this in person.
- To build trust, users suggested adding a provision or "escape hatch" where a **customer can optionally connect with the bank in person** at a loan center if they choose to.

Overall rating & User Suggestions

- Few users explicitly requested that the bank **provide a specific RM's name and direct number**, rather than just a generic customer care line throughout the journey, **or at the application submission stage**.
- This was highlighted as especially important for users running businesses who might have lower digital literacy and need a real human to resolve doubts if they get stuck.
- The **DD step is the major confusing point**. They strongly prefer the **DD/settlement part to be completely online**.
- Give an **estimate of charges** (like Foreclosure and Stamp Duty) **right at the beginning on the landing page**. Users noted that competitors like **HDFC already do this**.
- Rather than **showing foreclosure charges in the fine print**, few users demanded these **be highlighted better** either in bigger fonts or a different color so they cannot be missed.
- Language needs to be clearer, specifically the "Select and Upload" button (upload what, exactly?) and the Demand Draft instructional copy.



Thank You